

Improving Loan Performance and Credit Risk Assessment

1. Strengthening the Post-Approval Process

With the increase in Non-Performing Loans (NPLs), banks should strengthen post-approval monitoring of loans. Continuous monitoring helps detect financial problems early and prevents loans from turning into defaults.

- Regular monitoring of borrower financial statements and cash flows.
- Use of early warning systems to detect payment delays or declining business performance.
- Monitoring compliance with loan covenants and conditions.
- Timely intervention such as restructuring or renegotiating loan terms when risk signals appear.

Effective monitoring improves loan performance by identifying risks early and allowing the bank to take corrective actions before the loan becomes non-performing.

2. Benefits of Improving Credit Risk Assessment for the GBM Division and Clients

Improving the credit risk assessment process helps both the Global Banking & Markets (GBM) division and its clients.

For the GBM Division:

- Better evaluation of borrower creditworthiness and lower default risk.
- Reduction in NPLs and improvement in overall portfolio quality.
- Stronger profitability and better compliance with regulatory standards.

For Clients:

- Loans structured according to their financial capacity.
- Better financial guidance and responsible borrowing.
- Stronger long-term banking relationships.

Conclusion: Strengthening post-approval monitoring and improving credit risk assessment reduces NPLs, enhances loan performance, and supports sustainable relationships between the GBM division and its clients.